



Pre-feasibility study for Business complex project in Irbid



2017

Table of Contents

1. EXECUTIVE SUMMARY	7
2. KEY HIGHLIGHT OF JORDAN.....	8
3. MARKET ANALYSIS	14
<i>Job description.....</i>	<i>14</i>
<i>Project objectives.....</i>	<i>14</i>
<i>proposed services</i>	<i>14</i>
<i>Target segments</i>	<i>14</i>
<i>Market Size Analysis</i>	<i>15</i>
<i>Competitors analysis.....</i>	<i>15</i>
<i>Project capacity</i>	<i>15</i>
<i>Project Capacity.....</i>	<i>16</i>
<i>Prices analysis and pricing policy.....</i>	<i>17</i>
<i>Expected revenues analysis.....</i>	<i>17</i>
4. TECHNICAL ANALYSIS.....	19
<i>Required human resources</i>	<i>19</i>
<i>Location analysis.....</i>	<i>19</i>
<i>Technical requirments analysis.....</i>	<i>20</i>
1.1.1 <i>The land and construction works.....</i>	<i>20</i>
<i>Furniture</i>	<i>20</i>
<i>Machinery and equipment.....</i>	<i>20</i>
5. FINANCIAL ANALYSIS	21
<i>Assumptions.....</i>	<i>22</i>
<i>Capital Expenditures</i>	<i>24</i>
<i>Operating Expenses.....</i>	<i>27</i>
<i>General and Administrative Expenses</i>	<i>27</i>
<i>Marketing Expenses</i>	<i>28</i>
<i>Human Resources.....</i>	<i>29</i>
<i>Depreciations.....</i>	<i>31</i>
<i>Loan.....</i>	<i>32</i>

<i>Income Statement.....</i>	<i>33</i>
<i>Expected Cashflows Statement.....</i>	<i>34</i>
<i>Expected Balance Sheet.....</i>	<i>36</i>
<i>Feasibility Indicators</i>	<i>38</i>
<i>Sensitivity Analysis</i>	<i>40</i>

List of Tables

Table 1 main results of the study	7
Table 2 Population Distribution according to Age Group:.....	9
Table 3 project capacity	16
Table 4 expected occupancy rate	16
Table 5 suggested prices	17
Table 6 expected revenues during (2018-2027)	18
Table 7 required human resources.....	19
Table 8 required furniture	20
Table 9 required machinery and equipment	20
Table 10 General Assumptions.....	22
Table 11 Currency Exchange Rates.....	22
Table 12 working time assumption	22
Table 13 Annual Growth Rates Assumptions.....	22
Table 14 Expenses Assumptions.....	23
Table 15 Income Tax Assumptions	23
Table 16 Risk Premium	23
Table 17 Weighted Average Cost of Capital.....	24
Table 18 Machinery and equipment Capital Expenditure	24
Table 19 Furniture Capital Expenditure	25
Table 20 Pre-Operating Expenses	25
Table 21 Working Capital	25
Table 22 Expenses Summary.....	26
Table 23 Sources of Funding	26
Table 24 Operating Expenses.....	27
Table 25 General and Administrative Expenses	28
Table 26 Marketing Expenses	28
Table 27 expected number of employees	29
Table 28 Expected monthly Salaries and Wages (2018-2027)	30
Table 29 Expected Annual Salaries and Wages (2018-2027)	30
Table 30 Capex and Depreciation Expenses.....	31

Table 31 Depreciations and Additions on Construction Works.....	32
Table 32 Loan Details	32
Table 33 Income Statement	33
Table 34 Expected Cashflows	35
Table 35 Expected balance sheet.....	36
Table 36 Free Net Cash Flows Table	38
Table 37 Payback Period	39
Table 38 Financial Analysis Results	39
Table 39 Sensitivity Analysis	40

List of Figures

Figure 1 Population of Jordan.....	8
Figure 2 Sectors Contribution to Jordan's Economy.....	10

1. Executive summary

In recent years, Jordan has witnessed a rise and development in the level of education and number of private and public companies and universities in the region, and as results the number of universities students and businessmen are in continuous increase, especially in Irbid Province, that has 4 universities, they are Yarmouk University, the University of Science and Technology, Jadra University, and the Private University of Irbid..For business and companies there are many of them inside the borders of the province. The project idea is to establish a business complex with high specifications and services in Irbid city, the project provides offices equipped with computers and meeting rooms, targeting university students and businessmen. The offices are pre- booked or rented as available, the project will provide printing services and serving hot drinks. The project will be the first of its kind based on the offered services and its competitive advantages.

Depending on the expected market share, the expected annual revenue is 241,461 JD at the first year, rising to 539,065 JD at the tenth year, and the expected duration to refund the capital is 3 years with an internal rate of return of 38.86%.

The following table shows the most important results of the study:

Table1 main results of the study

Results	
Total investment cost (JD)	223,607
IRR (%)	%38.86
Payback period (years)	3
Net present value (for 10 years)	654,436
Provided job opportunities	10
Expected total cash inflows (for 10 years)	4,079,959
Total operating expenses (for 10 years)	1,892,851
Total net profit (for 10 years)	843,230

2. Key Highlight of Jordan

Jordan Hashemite Kingdom area is 89342 Kilometers with a population exceed 9.8 Millions distributed among 12 Governorates.

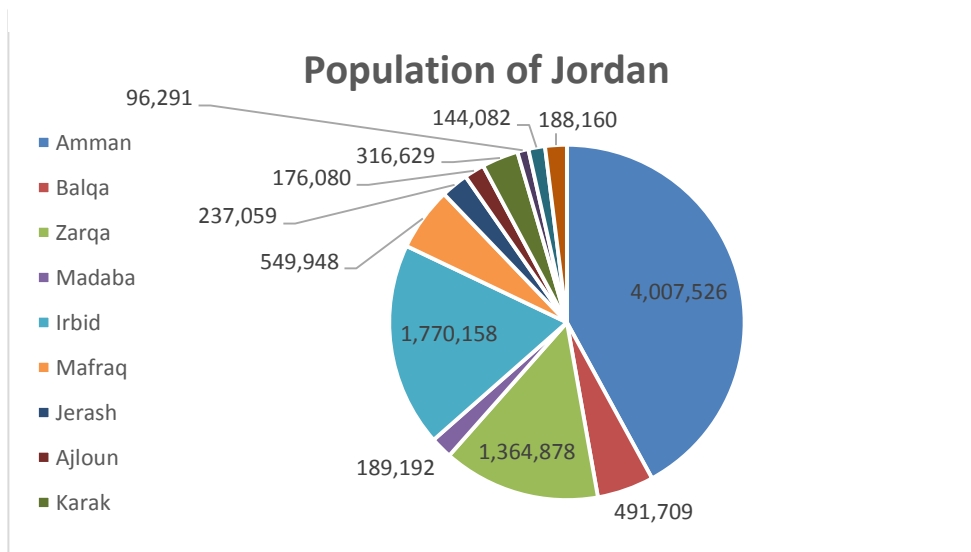
Jordan is bounded by Saudi Arabia, Iraq, Syria and Palestine from the South, East, North and west respectively. Jordan climate is mostly arid desert with rainy season between November to April Months.

Jordan is a free market economy, ranked as the fifth freest economy in the MENA region in the Index of Economic Freedom. Its free market economy enjoys strong partnerships amongst its neighboring country as well as Europe and the USA. Jordan is a signatory of several bilateral and multilateral trade agreements such as (Free Trade Agreement with the US and the EU, a Free Trade Agreement with the EFTA states, an FTA with Singapore, A member of the Greater Arab Free Trade Agreement (GAFTA) and a signatory of the Aghadir Agreement. Looking at the range of countries these agreements cover and facilitate trade between, one is confident to say that Jordan has business gateways and partnerships across the globe.

Population Overview

Based on the latest surveys done by Department of Statistics (DOS) in 2017, total number of population has reached around 9.814.995 with an increase rate of 2.88% from 2016 year, figure below summarizes the population distribution among the kingdom governorates.

Figure 1 Population of Jordan



Department of Statistics (DOS), 2015

Moreover, and based on the latest survey conducted by (DOS) which related to population nationality distribution over the governorates, it was found that total Non-Jordanian residents constitutes around 30% of the total population. Half of these are Syrians (1.3 Million) concentrated mainly in Amman Capital (436 Thousand) then Irbid (343 Thousand), Mafraq at 208 Thousand and Zarqa at 175 Thousand.

Jordan prides itself in its youthful population with 35% of ages below 15 years old and only 4% with ages above 65 years old. Table below summarizes population distribution of Jordanians according to Age Group:

Table 2 Population Distribution according to Age Group:

Age Group	Population %	Males	Females
0-14 Years	%35.04	%19.2	%18.2
15-64 Years	%61.02	%30.7	%28.6
More than 65 Years	%3.94	%1.6	%1.6

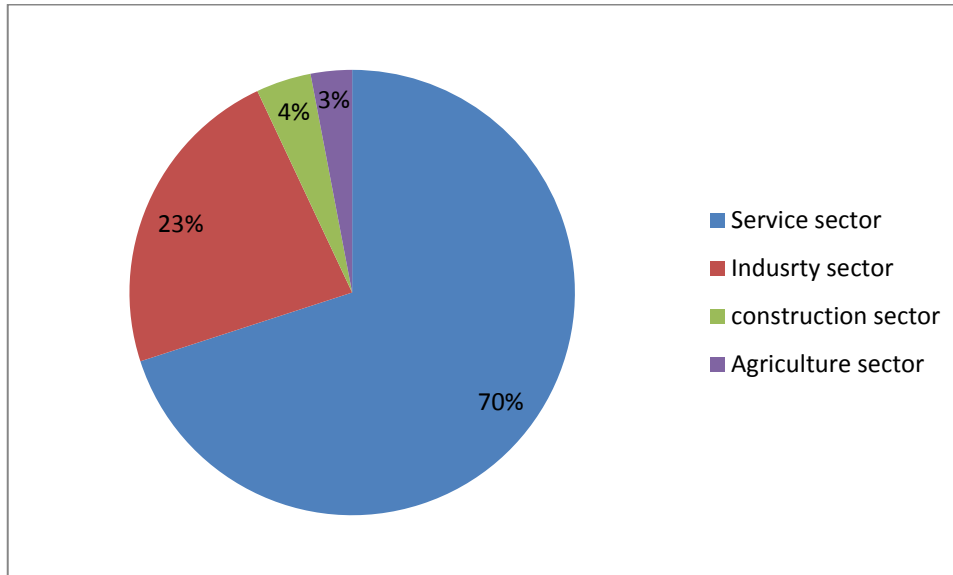
Department of Statistics (DOS), 2015.

Overview of Jordan Economy

Classified as an upper middle economy by the World Bank and as a country of High Human Development by the UNDP, Jordan is an important financial power in the Middle East. Its small market witnessed growth in the last two decades since King Abdullah II accessed the throne. Jordan's GNI per capita has increased in the last four years due to the basket of economic reforms that were enacted in the recent decade such as (the new Income Tax Law, Public Private Partnership Law and Investment Law). These laws aim to encourage the participation of the private sector in the Kingdom's economic development and provide an enabling legislative environment for current and new investment opportunities.

The Jordanian economy is overwhelmingly services oriented and its contribution in the GDP is 68.1%. The contribution of the industrial sector is 22.4%, the construction sector is 4.2% and the agricultural sector is 2.9%. These contributions are aimed to increase to (27.4%), (5.8%) and (3.4%) respectively and that of the service sector is due to decrease according to Jordan 2025 vision.

Figure 2 Sectors Contribution to Jordan's Economy



Jordan's exports include variety of textiles, potassium, phosphates, fertilizers, vegetables and pharmaceutical products. While it's main imports are crude and refined petroleum. Distinguished by its strategic location, on the crossroads between Asia, Africa and Europe with strong connections to the Levant and the GCC, Jordan has a regional market of interest that represents US\$3.8 trillion market and comprising 380 million consumers.

Jordan infrastructure ranks comparatively well (38th out of 148 comparable economies), with an extensive 8000 KM road network connecting Jordan domestically and externally The new Queen Alia International Airport and the Port of Aqaba are the major gateways to the international market. In addition to some mega projects such as the Red- Dead Sea Canal and the national railway network that will be developed to position Jordan as a hub for regional commerce.

Jordan banking system is quite sophisticated, resilient and in compliance with international standards, making it very attractive and trustworthy to investors. This is reflected in the fact that 50% of equity in licensed banks in Jordan is held by non-Jordanians, and non residents' deposits in Jordanian banks witnessed a steady growth of 19.2%.

Moreover, realizing the value of MSMEs to drive economic growth, the government has developed the national Strategy for the encouragement of entrepreneurship and the development of micro small and

medium sized enterprises for 2015-2019. This shows the commitment of the Jordan government to enhance the private sector development and leveraging the country's strong human capital.

Jordan prides itself in its youthful population. It's the country most valuable capital. A tech savvy well educated and trained workforce attracts a lot of investors to Jordan. More than 20.4% of Jordan's GDP is dedicated to the education and capacity building for the labor force, this has resulted in securing a 91% literacy rate and enabled Jordanians to be among most hired and qualified middle-eastern workforce.

Such solid, diverse and resilient characteristics of the Jordanian economy and investment scene position Jordan as a competitive investment destination.

Major Economic Indicators

- **GDP Growth**

The Jordanian economy slowed and reached 2.4 percent in 2015 compared to growth rate of 3.1 in 2014 and similar to MENA growth rates.

The growth also slowed for trade, restaurants and hotels; manufacturing; transport; and electricity and water. Meanwhile, finance, insurance, and business services advanced at a faster pace.

- **Inflation rate**

Inflation rate decreased to 0.9 in 2015 after 2% decline in the previous year. Inflation Rate in Jordan averaged 3.1 percent from 2011 until 2015.

- **Unemployment**

The unemployment rate in Jordan was recorded at 13 percent in 2015, comparing to 11.9 percent a year earlier. This increase due to the current instability in the labor market structure as well as high competition from low cost foreign labors especially from Syria.

- **External Sector**

A number of risks manifested in 2015, the closure of land trade routes with Syria and Iraq and the deepening instability in the region adversely impacted many external sector indicators such as trade, tourism and direct Investment.

Moreover, loans disbursements increased by JD 545.3 million, due to the use of the International and Arab Monetary Funds (IMF and AMF) credit facilities. As an outcome of these developments, the overall balance of the balance of payments registered a surplus of JD 328.7 million in 2015, compared with a surplus of JD 1,550.7 million in 2014.

Further, net international investment position (IIP) witnessed an increase in the Kingdom's net obligations to abroad; to reach JD 24,357.5 million, compared to a net obligation of JD 22,578.8 million at the end of 2014 as a result of the increase in the stock of external financial assets and liabilities of all resident economic sectors to reach JD 18,657.9 million and JD 43,015.5 million; respectively.

External Debt in Jordan increased to 9390.50 JOD Million in 2015 from 8030.10 JOD Million in 2014. External Debt in Jordan averaged 5433.67 JOD Million from 1988 until 2015, reaching an all time high of 9390.50 JOD Million in 2015 and a record low of 3640.20 JOD Million in 2008.

Investment Climate in Jordan

Investment in Jordan is considered as one of the vital sources to boost the economy considering that Jordan's economy is among the smallest in the Middle East, with insufficient supplies of water, oil, and other natural resources, underlying the government's heavy reliance on foreign assistance.

The country's location, supported by myriad free trade agreements (FTAs) offering access to 1.5bn consumers, enables the kingdom to be a strategic trade route to many of its neighboring countries and regions.

Jordan aspires to create a competitive investment destination capitalizing on its many advantages mentioned above. The government focused its efforts to implement significant advances in structural and legal reform. These efforts are represented in the new Investment Law of 2014, the tax law, in addition to other endeavors related to providing greater access to credit for MSMEs, and by providing greater investment incentives to specific priority sectors identified by the new Investment law and the Jordan 2025 vision.

furthermore, in its endeavor to enhance the business environment, several geographically industrial states were created across the kingdom. These range in type to include (industrial estates, free zones and special economic zones). Under the new Investment Law, these zones are given a number of incentives that include a tax rate of 0% on exports, sales tax, import duties, social service tax, dividends tax and a 5% income tax from all economic and manufacturing activities undertaken in the development zones. As for the investments in Free Zones, they enjoy Exemptions from customs duties, income tax exemptions and exemptions from land and building taxes among others. Both development and free zones also enjoy facilitations regarding visa and residency permits for investors and workers in addition to Repatriation of capital and profits in a convertible currency. Such estates have succeeded in attracting relatively large amounts of FDI to Jordan.

Key National Investment Priorities:

Jordan Investment commission worked on taking a leading role in the application of government policies to promote and attract domestic and foreign investments and create an investment environment that stimulates economic performance through investment promotion strategy launched in 2016

Jordan investment commission aims to:

- Regulating the special provisions governing Development Zones and Free Zones in the Kingdom and developing them placing them in service of the national economy as well as monitoring their functioning.
- Developing plan and programs to stimulate domestic and foreign investments.
- Establishing trade centers and organizing exhibitions as well as opening markets and organizing trade missions in order to promote national products, in addition to marketing and development of national exports and encouraging investment.
- Taking appropriate decisions related to private or public institutions to improve Investors' confidence in Jordan's investment environment.

3. Market Analysis

Job description

The project is a business complex in Irbid city that provides offices with computer and meeting rooms. The project targets mainly the universities' students and businessmen, who needs to make a meeting in a Professional way. Offices and meeting rooms are pre-booked or the meeting rooms or halls could be rented as available, in addition to the provision of printing services and serving beverages. The project will provide monthly subscription and entry to the complex per day.

Project objectives

The project objectives are summarized in the following points:

- Achieving profitable revenue to the owners.
- The first project of its kind in the province.
- Providing a suitable study and work environment for:
 - Students
 - Businessmen.

proposed services

The project provides the following services:

- Offices equipped with computers and internet access.
- Meeting rooms with a capacity of (22-28) persons, equipped with data shows.
- Hot drinks services.
- Printing services.

Target segments

The project targets the following segments:

- Universities and colleges students.
- Businessmen

Market Size Analysis

The market size of the project depends on the following two segments:

- **Universities and colleges students:** There are four universities and many of colleges in Irbid city, they are: (university for science and technology, Yarmouk University, Jadara University, Irbid National University, Al Husn college, Gernata college, Toledo College, Banat Irbid college), number of students in irbid city are about (110,000) student.
- **Businessmen:** this segment includes small and medium commercial companies that exist in Irbid city.

Competitors analysis

The following are the competitors in Irbid city:

- **Atheer center:** the capacity of the center is about (110-120) people, providing offices and printing services only, the center's profits based on printing revenues and entrance fees of 2 JD per person.
- **Al qusour academy:** an academy that gives courses for universities students, and lease empty halls and rooms by 50 JD per 1 hour.

Project capacity

The project is divided into two floors:

First floor:

- Desks with a size of (1.00 × 1.80) m², 14 desks with a capacity of 90 people.
- Rounded desks with a radius of (1.04) m, 40 desks with a capacity of 90 people.
- A place for preparing drinks with a size of (3×6) m.

Second floor:

- 2 meeting rooms:
 1. A Hall with a size of (15×6) m², with a capacity of 22 people.
 2. A Hall with a size of (20×7) m², with a capacity of 30 people.
- Desks with a size of (1.80 × 1.20) m², 25 desks with a capacity of 70 people.

Project Capacity

The following shows the capacity of the suggested project:6

Table 3 project capacity

Capacity	
Capacity (person)	70
One room capacity per day (hours)	12
Average utilization per person(hours)	4
Common room capacity (person)	245
Total	331

The following table shows the occupational rate for the project for the next 10 years:

Table 4 expected occupancy rate

Occupancy rate	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Printing revenue ratio of total revenue	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
Drinks revenue ratio of total revenue	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%
Membership percentage out of total capacity	6%	7.00%	8%	8%	9%	9%	9%	9%	9%	9%
Daily entry percentage out of total capacity	5%	7.0%	9.0%	9.0%	11.0%	11.0%	12.0%	15.0%	15.0%	15.0%
Halls reservation percentage out of available time	8%	10%	12%	14%	16%	18%	20%	25%	30%	35%

Prices analysis and pricing policy

The following table shows the suggested pricing for 10 years

Table 5 suggested prices

Suggested pricing	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Monthly membership	40	41	42	44	45	46	48	49	51	52
Daily entry	3	3	3	3	3	3	4	4	4	4
Meeting room price/hour	15	15	16	16	17	17	18	18	19	20

Expected revenues analysis

The following table shows the expected revenues for 10 years:

Table 6 expected revenues during (2018-2027)

Year	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Membership revenues	214,032	257,195	283,833	311,838	341,268	372,183	383,348	394,849	406,694	418,895
Daily entry revenues	13,377	19,290	25,545	26,311	33,123	34,117	38,335	49,356	50,837	52,362
Halls and meeting rooms booking revenues	10483	13497	16682	20047	23598	27344	31294	40291	49799	59842
Printing revenues	2379	2900	3261	3582	3980	4336	4530	4845	5073	5311
Drinks revenues	1189	1450	1630	1791	1990	2168	2265	2422	2537	2655
Total revenues	241461	294332	330952	363569	403959	440148	459771	491763	514940	539065

4. Technical Analysis

Required human resources

Table 7 required human resources

Job title	Number
General manager	1
Accountant	1
public relations officer	1
Marketing officer	1
Number of indirect employees	4
Beverage employee	2
Reservation officer	2
cleaner	2
Number of direct employees	6
Total	10

The following shows the job description for needed human resources:

- **General manager:**
- **Accountant:**
- **beverage employee:**
- **Cleaner:**

Location analysis

After studying the province of Irbid and the sites of universities and colleges, it was found that Shafiq Arshidat Street (University Street) and its environs and the area of the new Amman complex and its environs are the appropriate areas for this project because they are vital and surrounded by most of the student accomodationss and offices.

Technical requirements analysis

1.1.1 The land and construction works

The project will be established by renting a ready complex that consists of 2 floors, each floor area is around 500m², with a total area of 1,000 m² approximately.

Furniture

The following table shows required furniture:

Table 8 required furniture

Furniture	Qty
Desks	90
Computers	90
Rounded tables	100
Chairs	500
Meeting tables 10*2 m	2
Meeting tables 12.40*2 m	2
Data show	2

Machinery and equipment

The following table shows required machinery and equipment:

Table 9 required machinery and equipment

Required machinery and equipment	Qty
Fire fighting equipment	1
Air conditioner	8
Drinks preparing machines	2
Printing and scanning machines	14

5. Financial analysis

The Financial Part illustrates all the assumptions which were used when we have developed the study including project expenses related to capital expenditures, operating expenses (Fixed and Variable costs) followed by illustrating project revenues.

Assumptions

Calculation Assumptions:

- The weighted average cost of capital used in the study is 11.55% as it was calculated considering risk free and debt Interest rates as well as Market risk premiums to consider alternative opportunity costs for investor.
- Income tax on the net project income is 8 % during the life time of the project.
- Project working capital has been estimated and added to project cash outflows at the beginning of the project and annual increase in working capital has been also estimated and added to the operating expenses then net working capital has been added to total cash inflows at the end of project lifetime.

The time span for the financial study is 10 years starting from 2018, where annual increase rates have been estimated as per the tables below:

Assumptions

Table 10 General Assumptions

General Information	
All Financial Numbers (Currency)	Jordan Dinars
Financial Study Time Span (Years)	10
Expected Project First Operating Year	2018
Last Year in the Financial Study	2027

Table 11 Currency Exchange Rates

Exchange Rates	Jordan Dinars
American Dollar	0.708
Euro	0.760

Table 12 working time assumption

Working time assumption	
Number of weeks in the year	52
Number of working days in the week	7
Number of days in the year	364
Daily working hours	14

Table 13 Annual Growth Rates Assumptions

Annual Growth Rates	Average
Annual Population Growth Rate	2.20%
Annual Sales Price Increase Rate	3.00%
Annual Expenses Increase Rate	3.00%
Annual Increase Rate in Employees Salaries	4.1%

(1) and (2) Source: Inflation Rates, Central Bank of Jordan

(3) Source: Social Security

Table 14 Expenses Assumptions

Expenses Assumptions	
Raw Materials and Packaging from Total Revenues	30.00%
Utilities Expenses from Total Revenues	5.00%
Maintenance Expenses from Total Revenues	1.00%
Depreciation Expenses from Total Revenues	0.50%
Insurance Expenses from Total Assets Value	0.50%
Marketing Expenses from Total Revenues	0.50%

Table 15 Income Tax Assumptions

Income Tax Assumptions	Value
(1) Average Income Tax in Jordan	20%
(2) Income Tax Deduction	0%
Income Tax after Deduction	20%
(3) Compulsary Reserve Percentage	10%
Other Assumptions	value
(1) Annual Monthly Salaries have been calculated after multiplying monthly salaries by:	16

Table 16 Risk Premium

Risk Premium	
(1) Risk Free Rate of Return	6.50%
(2) Return to Debt Maturity	9.48%
(3) Market Risk Premium	10.12%
Income Tax Rate	20%
(4) Beta	0.89
Growth Rate	4.00%

(1) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(2) Source :Central Bank of Jordan

(3) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(4) Source :Damodoran Beta By Sector, , pages.stern.nyu.edu

Table 17 Weighted Average Cost of Capital

Weighted Average Cost of Capital	
Average Return on Risk Free Investment	%6.50
Return to Debt Maturity	%9.48
Market Risk Premium	%10.12
Income Tax Rate	%20
Bets	0.89
Equity	113,255
Loans Value	113,255
Loans	
Cost of Borrowing before Tax	%9.48
Cost of Borrowing After Tax	%7.58
Loans Value	113,255
Loans Percentage	%50
Equity	
Cost of Equity	%15.5
Equity Value	113,255
Equity Percentage	%50
Gross	
Project Value	226,511
Weighted Average Cost of Capital	%11.55

Capital Expenditures

The estimated cost of the project is 226,511 JD and it covers machinery and equipment, furniture, pre-operating expenses and working capital. The following tables summarize the details of these expenses:

Table 18 Machinery and equipment Capital Expenditure

Machinery and equipment	Number	Unit cost (JD)	Total cost (JD)
Fire fighting equipment	1	500	500
Air conditioner	8	400	3,200
Drinks preparing machines	2	300	600
Printing and scanning machines	14	500	7,000
Total			11,300

Table 19 Furniture Capital Expenditure

Furniture	Number	Unit cost (JD)	Total cost (JD)
Desks	90	300	27,000
Computers	90	400	36,000
Rounded tables	100	300	30,000
Chairs	500	70	35,000
Meeting tables 10*2 m	2	1,150	2,300
Meeting tables 12.40*2 m	2	1,390	2,780
Data show	2	300	600
Total			133,680

Table 20 Pre-Operating Expenses

Pre-operating expenses	Estimated cost (JD)
Governmental fees	1,500
Transportation	1,500
Marketing	1,500
Training	2,500
Total cost	7,000

The initial working capital reflects the project's amounts needed to cover all the expenses during operation until the project starts generating income, the following table shows the components of the initial working capital:

Table 21 Working Capital

Working Capital	No. of Months	%	Estimated Cost (JD)
Operating expenses	3	%25	32,157
General and administrative expenses	3	%25	11,481
Marketing expenses	3	%25	302
Indirect Salaries	3	%25	10,000
Total			53,939

Table 22 Expenses Summary

Capital expenditure summary	Cost (JD)	Contingency	Cost (JD)	%
Machinery & Equipment	11,300	10%	12,430	%5.5
Furniture	133,680	10%	147,048	%64.9
Pre-Operating Expenses	7,000	10%	7,700	%3.4
Working capital	53,939	10%	59,333	%26.2
Total (JD)	205,919		226,511	100%

Sources of Funding

The financing structure of the project consists of loans and Equity. The investment cost of this project is estimated at (266,511) JD, where 50% of the project will be financed through loans (113,255) JD, and the remaining (50%) through (Equity) with (113,255) JD. The following table summarizes the general structure of the required financing:

Table 23 Sources of Funding

Funding Sources	Amount	Percentage
Equity	113,255	%50
Loans	113,255	%50
Total	226,511	%100
Use of Fund	Amount	Percentage
Capital Expenditures	159,478	%70.41
Pre-Operating Expenses	7,700	%3.40
Working Capital	59,333	%26.19
Total	226,511	%100.00

Operating Expenses

The following table summarizes the expected operating expenses for the proposed project (2018-2027):

Table 24 Operating Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Raw Materials and Packaging from Revenues	72,438	88,299	99,285	109,071	121,188	132,044	137,931	147,529	154,482	161,720
Service benefit expenses from revenues	12,073	14,717	16,548	18,178	20,198	22,007	22,989	24,588	25,747	26,953
Maintenance from Revenues	2,415	2,943	3,310	3,636	4,040	4,401	4,598	4,918	5,149	5,391
Disposables from Revenues	1,207	1,472	1,655	1,818	2,020	2,201	2,299	2,459	2,575	2,695
Direct Salaries	28,800	29,981	31,210	32,490	33,822	35,208	36,652	38,155	39,719	41,347
Others	11,693	13,741	15,201	16,519	18,127	19,586	20,447	21,765	22,767	23,811
Total	128,626	151,153	167,208	181,712	199,393	215,449	224,915	239,413	250,439	261,917

General and Administrative Expenses

The following table summarizes the expected general and administrative expenses for the proposed project (2018-2027):

Table 25 General and Administrative Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Telecom	750	773	796	820	844	869	896	922	950	979
Stationary and Printing	100	103	106	109	113	116	119	123	127	130
Transportation	100	103	106	109	113	116	119	123	127	130
Renting	40,000	41,200	42,436	43,709	45,020	46,371	47,762	49,195	50,671	52,191
Insurance	797	821	846	871	897	924	952	981	1,010	1,040
Miscellaneous	4,175	4,300	4,429	4,562	4,699	4,840	4,985	5,134	5,288	5,447
Total	45,922	47,300	48,719	50,180	51,686	53,236	54,833	56,478	58,173	59,918

Marketing Expenses

Table 26 Marketing Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Marketing Expenses	1,207	1,472	1,655	1,818	2,020	2,201	2,299	2,459	2,575	2,695

Human Resources

The total annual salaries and monthly wages has been estimated on 16 months for the purpose of considering annual increments on salaries as well as payments related to social security and health insurance, etc.

The following table summerizes the expected annual salaries and wages, considering annual increment on salaries as per the income statement:

Table 27 expected number of employees

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect employees										
General manager	1	1	1	1	1	1	1	1	1	1
Accountant	1	1	1	1	1	1	1	1	1	1
public relations officer	1	1	1	1	1	1	1	1	1	1
Marketing officer	1	1	1	1	1	1	1	1	1	1
Total number of indirect employees	4	4	4	4	4	4	4	4	4	4
direct employees										
Beverage employee	2	2	2	2	2	2	2	2	2	2
Reservation	2	2	2	2	2	2	2	2	2	2
cleaner	2	2	2	2	2	2	2	2	2	2
Total number of direct employees	6	6	6	6	6	6	6	6	6	6
Grand total	10	10	10	10	10	10	10	10	10	10

Business Complex in Irbid

Table 28 Expected monthly Salaries and Wages (2018-2027)

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect employees										
General manager	1,300	1,353	1,409	1,467	1,527	1,589	1,654	1,722	1,793	1,866
Accountant	400	416	433	451	470	489	509	530	552	574
public relations officer	400	416	433	451	470	489	509	530	552	574
Marketing officer	400	416	433	451	470	489	509	530	552	574
direct employees										
Beverage employee	350	364	379	395	411	428	445	464	483	502
Reservation	300	312	325	338	352	367	382	397	414	431
cleaner	250	260	271	282	294	306	318	331	345	359

Table 29 Expected Annual Salaries and Wages (2018-2027)

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect employees										
General manager	20,800	21,653	22,541	23,465	24,427	25,428	26,471	27,556	28,686	29,862
Accountant	6,400	6,662	6,936	7,220	7,516	7,824	8,145	8,479	8,826	9,188
public relations officer	6,400	6,662	6,936	7,220	7,516	7,824	8,145	8,479	8,826	9,188

Business Complex in Irbid

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Marketing officer	6,400	6,662	6,936	7,220	7,516	7,824	8,145	8,479	8,826	9,188
Total indirect salaries	40,000	41,640	43,347	45,124	46,975	48,901	50,905	52,993	55,165	57,427
direct employees										
Beverage employee	11,200	11,659	12,137	12,635	13,153	13,692	14,254	14,838	15,446	16,080
Reservation cleaner	9,600	9,994	10,403	10,830	11,274	11,736	12,217	12,718	13,240	13,782
	8,000	8,328	8,669	9,025	9,395	9,780	10,181	10,599	11,033	11,485
Total direct salaries	28,800	29,981	31,210	32,490	33,822	35,208	36,652	38,155	39,719	41,347
Grand total	68,800	71,621	74,557	77,614	80,796	84,109	87,557	91,147	94,884	98,775

Depreciations

The following tables illustrate cost of Capex and Depreciation rates:

Table 30 Capex and Depreciation Expenses

Capex Cost and Annual Depreciation Rates	Cost (JOD)	Depreciation Rate	Annual Additions Percentage
Machinaries	12,430	%10.0	%2.0
Furniture	147,048	%10.0	%5.0
	159,478		

Table 31 Depreciations and Additions on Construction Works

Capex, Annual Additions and Depreciations	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Fixed Assets	159,478	167,079	175,053	183,417	192,192	201,398	211,057	221,189	231,821	242,975
Total Depreciation Expenses	15,948	16,708	17,505	18,342	19,219	20,140	21,106	22,119	23,182	24,297
Total Accumulated Depreciation	15,948	32,656	50,161	68,503	87,722	107,862	128,967	151,086	174,268	198,566
Total Additions	0	7,601	7,974	8,365	8,775	9,206	9,658	10,133	10,631	11,154
Total Net Book Values	143,530	134,423	124,892	114,915	104,470	93,537	82,089	70,103	57,552	44,409

Loan

The table below summarizes all details related to the loan such as annual installments and payment methods for the remaining amount of the loan for each year of the project.

Table 32 Loan Details

Loan Value	113,255
Annual Interest Rate	9.48%
Loans Period	5
Loan Starts at year:	2018
Annual Payment	29,481
Number of Payments	5

Business Complex in Irbid

Year	Annual Payment	Interest	Capital	Loan Remaining Value
2018				113,255
2019	29,481	10,737	18,744	94,511
2020	29,481	8,960	20,521	73,990
2021	29,481	7,014	22,466	51,524
2022	29,481	4,884	24,596	26,928
2023	29,481	2,553	26,928	0

Income Statement

Table 33 Income Statement

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Revenues										
Sales Revenues	241,461	294,332	330,952	363,569	403,959	440,148	459,771	491,763	514,940	539,065
Gross Operating Revenues	241,461	294,332	330,952	363,569	403,959	440,148	459,771	491,763	514,940	539,065
Operating Expenses	(128,626)	(151,153)	(167,208)	(181,712)	(199,393)	(215,449)	(224,915)	(239,413)	(250,439)	(261,917)
Gross Operating Profit	112,834	143,179	163,743	181,858	204,565	224,699	234,856	252,350	264,501	277,148
<i>Gross Profit Percentage</i>	<i>%47</i>	<i>%49</i>	<i>%49</i>	<i>%50</i>	<i>%51</i>	<i>%51</i>	<i>%51</i>	<i>%51</i>	<i>%51</i>	<i>%51</i>
Salaries and Benefits (Indirect	(40,000)	(41,640)	(43,347)	(45,124)	(46,975)	(48,901)	(50,905)	(52,993)	(55,165)	(57,427)

Business Complex in Irbid

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
General and Administrative	(45,922)	(47,300)	(48,719)	(50,180)	(51,686)	(53,236)	(54,833)	(56,478)	(58,173)	(59,918)
Marketing Expenses	(1,207)	(1,472)	(1,655)	(1,818)	(2,020)	(2,201)	(2,299)	(2,459)	(2,575)	(2,695)
Pre-Operating Expenses	(7,700)									
Gross Indirect Expenses	(94,829)	(90,411)	(93,721)	(97,123)	(100,680)	(104,338)	(108,038)	(111,930)	(115,913)	(120,040)
Income before Interest,	18,005	52,767	70,023	84,735	103,885	120,362	126,818	140,420	148,588	157,108
Fixed Assets Depreciations	(15,948)	(16,708)	(17,505)	(18,342)	(19,219)	(20,140)	(21,106)	(22,119)	(23,182)	(24,297)
Income before Tax and Interests	2,057	36,059	52,517	66,393	84,666	100,222	105,713	118,301	125,406	132,811
Bank Interests	(10,737)	(8,960)	(7,014)	(4,884)	(2,553)	(0)	(0)	(0)	(0)	(0)
Income Before Tax	(8,680)	27,100	45,503	61,509	82,113	100,222	105,713	118,301	125,406	132,811
Income Tax	0	(3,684)	(9,101)	(12,302)	(16,423)	(20,044)	(21,143)	(23,660)	(25,081)	(26,562)
Net Profit	(8,680)	23,416	36,403	49,207	65,691	80,178	84,570	94,641	100,325	106,248
<i>Net Profit Percentage</i>	<i>%4-</i>	<i>%8</i>	<i>%11</i>	<i>%14</i>	<i>%16</i>	<i>%18</i>	<i>%18</i>	<i>%19</i>	<i>%19</i>	<i>%20</i>
Compulsory Reserves	0	(2,342)	(3,640)	(4,921)	(6,569)	(8,018)	(8,457)	(9,464)	(10,032)	(10,625)
Retained Earnings	(8,680)	12,394	45,157	89,443	148,564	220,724	296,837	382,014	472,306	567,930

Expected Cashflows Statement

The table below summarizes project cashflows statement, where net cash flows are positive during all years as below:

Table 34 Expected Cashflows

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cash Inflows from Operating Activities										
Net Profit	(8,680)	23,416	36,403	49,207	65,691	80,178	84,570	94,641	100,325	106,248
Bank Interests	10,737	8,960	7,014	4,884	2,553	0	0	0	0	0
Depreciation	15,948	16,708	17,505	18,342	19,219	20,140	21,106	22,119	23,182	24,297
Total Operating Cashflows before Additions to Working Capital	18,005	49,083	60,922	72,433	87,463	100,317	105,676	116,760	123,507	130,546
Inventory (Increase/Decrease)	(6,037)	(1,322)	(915)	(815)	(1,010)	(905)	(491)	(800)	(579)	(603)
Accounts Payables (Increase/Decrease)	9,365	1,111	845	786	927	866	597	817	679	707
Working Capital (Increase/Decrease)	3,328	(211)	(71)	(29)	(82)	(38)	106	17	99	104
Net Cashflows from Operating Activities	21,333	48,872	60,851	72,404	87,380	100,279	105,782	116,777	123,606	130,649
Cashflows from Investments Activities										
Fixed Assets (Procurement)	(159,478)	(7,601)	(7,974)	(8,365)	(8,775)	(9,206)	(9,658)	(10,133)	(10,631)	(11,154)
Net Cashflows from Investments Activities	(159,478)	(7,601)	(7,974)	(8,365)	(8,775)	(9,206)	(9,658)	(10,133)	(10,631)	(11,154)
Cashflows from Financing Activities										
Capital	113,255									
Loan Amortization	(18,744)	(20,521)	(22,466)	(24,596)	(26,928)	0	0	0	0	0

Business Complex in Irbid

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Bank Interest Rate	(10,737)	(8,960)	(7,014)	(4,884)	(2,553)	(0)	(0)	(0)	(0)	(0)
Loans	113,255	0	0	0	0	0	0	0	0	0
Net Cashflows from Financing Activities	197,030	(29,481)	(29,481)	(29,481)	(29,481)	0	0	0	0	0
Net (Increase/Decrease) in Cash	58,885	11,791	23,397	34,559	49,124	91,073	96,124	106,644	112,975	119,495
Cashflows at the Beginning of Period	0	58,885	70,676	94,073	128,632	177,756	268,829	364,953	471,597	584,572
Cashflows at the End of Period	58,885	70,676	94,073	128,632	177,756	268,829	364,953	471,597	584,572	704,067

Expected Balance Sheet

The balance sheet is one of the main statements which the project depends on, as it reflects the financial position of the entity and is usually estimated on the last day of the financial year.

All financial information and analysis of the project shall be the estimated for the years (2018-2027) as shown in the table below:

Table 35 Expected balance sheet

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Assets										
Current Assets										
Cash	58,885	70,676	94,073	128,632	177,756	268,829	364,953	471,597	584,572	704,067
Inventory	6,037	7,358	8,274	9,089	10,099	11,004	11,494	12,294	12,873	13,477
Total current Assets	64,922	78,034	102,347	137,721	187,855	279,833	376,447	483,891	597,445	717,544

Business Complex in Irbid

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Non Current Assets										
Fixed Assets (net)	143,530	134,423	124,892	114,915	104,470	93,537	82,089	70,103	57,552	44,409
Total Non Current Assets	143,530	134,423	124,892	114,915	104,470	93,537	82,089	70,103	57,552	44,409
Total Assets	208,452	212,457	227,238	252,635	292,326	373,370	458,536	553,994	654,997	761,952
Liabilities										
-	-	-	-	-	-					
Current Liabilities										
Paybles	9,365	10,476	11,320	12,107	13,034	13,901	14,497	15,314	15,993	16,700
Remaining amount of Loan	20,521	22,466	24,596	26,928	(0)	(0)	(0)	(0)	(0)	0
Total current Liabilities	29,886	32,942	35,917	39,035	13,034	13,901	14,497	15,314	15,993	16,700
Non Current Liabilities										
Long Terms Loans	73,990	51,524	26,928	0	0	0	0	0	0	0
Total Long Term Liabilities	73,990	51,524	26,928	0	0	0	0	0	0	0
Total Liabilities	103,876	84,466	62,844	39,035	13,034	13,901	14,497	15,314	15,993	16,700
Owners Equity										
Shareholders Contributions	113,255	113,255	113,255	113,255	113,255	113,255	113,255	113,255	113,255	113,255
Statutory Reseve	0	2,342	5,982	10,902	17,472	25,489	33,946	43,410	53,443	64,068
Retained Profits	(8,680)	12,394	45,157	89,443	148,564	220,724	296,837	382,014	472,306	567,930
Total Equity	104,576	127,991	164,394	213,601	279,291	359,469	444,039	538,680	639,004	745,253
Total Liabilities and Equity	208,452	212,457	227,238	252,635	292,326	373,370	458,536	553,994	654,997	761,952

Feasibility Indicators

There are more than one method to calculate the discounted cash flow statement. However, in this study, WACC was used to calculate the discounted cash flows and net investment value. The Company's financing structure is based on equity and loans; therefore, the discounted rate should be adjusted according to WACC based on the following assumptions, the following table illustrates the net expected free cash flow of the project:

Table 36 Free Net Cash Flows Table

Net Cashflows	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	Final value
Net Free Cashflows	(226,511)	29,033	41,271	52,878	64,039	78,605	91,073	96,124	106,644	112,975	119,495	1,647,032
Discount Factor	1.00	0.71	0.63	0.56	0.50	0.45	0.40	0.36	0.32	0.28	0.25	0.25
Net Present Value for Cash Flows	(226,511)	20,602	26,122	29,852	32,247	35,304	36,484	34,347	33,988	32,116	30,299	417,613

The table below illustrates payback period for the project, as it is one of the indicators which investors care about before taking the investment decision as they need to know when the project will return the invested amount of money. Payback period definition is the total required period so that the project generates a total money equal to the total invested capital expenditure, as investor is always looking to return the full invested amount of money at the earliest possible.

Table 37 Payback Period

Payback Period	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Free Cashflows	(226,511)	29,033	41,271	52,878	64,039	78,605	91,073	96,124	106,644	112,975	119,495
Project Value Returned	226,511	197,478	156,207	103,329	39,289	(39,316)	(130,389)	(226,512)	(333,156)	(446,131)	(565,627)
Payback Period (Year)	3	1	1	1	0	0	0	0	0	0	0

Table 38 Financial Analysis Results

Weighted Average Cost of Capital (WACC)	%11.55
Net Present Value for Cashflows	502,462
Payback Period	3
Internal Rate of Return	%33.71

Sensitivity Analysis

Sensitivity analysis is conducted to investigate the effects of changes in significant inputs of the financial analysis. This includes changes in revenues, total investment costs, and operating costs.

Table 39 Sensitivity Analysis

Sensitivity Analysis	Internal Rate of Return	Payback Period	WACC
Original Scenario	%33.71	3	11.82%
Revenues declined by 10%	%28.11	3	11.82%
Operating Expenses Increased by 10%	%28.84	3	11.82%

Conclusions and Recommendations

Based on the profitability analysis and considering that project internal rate of return is higher than WACC, it is concluded that the project is feasible as the net present value for the project is positive 502,462 Jordan Dinars considering that the project provides 10 Job Opportunities for the governorate residents.

